Practice workbook · Calculate the operating profit margin

Calculating operating profit margin as operating profit divided by revenue times 100, deriving operating profit from gross profit minus expenses when needed.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-15

1. Question 4 · part a · 2 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part a only.

4 **Figure 1** is an extract from *Irsi Chocolatier's* Statement of Comprehensive Income.

Revenue	€330 606
Gross profit	€80 282
Other operating expenses	€12 692

Figure 1

(a) Calculate, to two decimal places, the operating profit margin. You are advised to show your working.

(2)

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1. Question 4 · part a · 2 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part a only.

(b) Analyse the importance of place to *Irsi Chocolatier*.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 3 · part c · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Define the term **job share**.

(1)

(b) Outline **one** reason why high levels of customer satisfaction might be important to *Loaf*.

(2)

Figure 2 is an extract from *Loaf*'s statement of comprehensive income in 2018.

	£000s
Revenue	90
Gross profit	22
Other operating expenses	4

Figure 2

(c) Calculate the operating profit margin for *Loaf* in 2018. You are advised to show your working.

(2)

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2. Question 3 · part c · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Analyse how useful the information in **Figure 2** is to *Loaf*.

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2. Question 3 · part c · 2 marks · Working and answer

Working and answer

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3. Question 1 · part e · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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3. Question 1 · part e · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

(iv) Which **one** of the following is a document employers would send to potential employees?

(1)

Select **one** answer.

- ☒ **A** Curriculum vitae
- ☒ **B** Letter of application
- ☒ **C** Newspaper advertisement
- ☒ **D** Person specification

NOF imports dried fruit from France. A kilogram (kg) costs €12.84.

The exchange rate is £1 (Pound sterling) = €1.16 (Euro).

(v) Which **one** of the following would *NOF* pay for 1kg of dried fruit in pounds sterling?

(1)

Select **one** answer.

- ☒ **A** £1.16
- ☒ **B** £11.07
- ☒ **C** £12.84
- ☒ **D** £14.00

NOF buys honey from a local farm for £1.60 a jar and sells it to customers for £3.60.

(vi) What is the markup on a jar of honey?

(1)

Select **one** answer

- ☒ **A** 1.6%
- ☒ **B** 2%
- ☒ **C** 125%
- ☒ **D** 250%

(b) Define the term **profit**.

(1)

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3. Question 1 · part e · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

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(c) Define the term **non-current liabilities**.

(1)

(d) State **one** reason why *NOF* segments its target market by income.

(1)

Figure 1 is an extract from *NOF*'s statement of comprehensive income.

	£000s
Revenue	160
Cost of sales	70
Gross profit	90
Other operating expenses	10

Figure 1

(e) Calculate the operating profit margin. You are advised to show your working.

(2)

.....%

3. Question 1 · part e · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

(f) Explain **one** strategy a small business might use to extend the product life cycle of one of its products.

(3)

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3. Question 1 · part e · 2 marks · Working and answer

Working and answer

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4. Question 4 · part a · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

4 *NEXT* continually monitors progress so that it can measure the success of its business. It aims to do this through improving manufacturing techniques and cutting costs, whilst still maintaining the quality of the goods produced.

Figure 2 shows selected financial information for *NEXT* in 2019.

	2019 (£m)
Revenue	4 221
Operating profit	590

Figure 2

(a) Calculate to two decimal places the operating profit margin for *NEXT* in 2019. You are advised to show your working.

(2)

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4. Question 4 · part a · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

(b) Analyse the effects for *NEXT* of an increase in UK interest rates.

(6)

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4. Question 4 · part a · 2 marks · Working and answer

Working and answer

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5. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

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1 (a) (i) Which **one** of the following is an advantage of primary market research?

(1)

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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5. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

Figure 1 shows selected financial information for a pottery business.

Number of ceramic bowls sold per day	200
Price per bowl	£12.00
Variable cost per bowl	£3.00
Fixed costs per day	£600

Figure 1

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

☒ **A** £600

☒ **B** £1 800

☒ **C** £2 400

☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

☒ **A** Sharing the workload

☒ **B** Liability for all debts

☒ **C** Access to more capital

☒ **D** Sharing skills

Huawei's brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

☒ **A** $6.20 billion

☒ **B** $7.74 billion

☒ **C** $8.66 billion

☒ **D** $10.64 billion

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5. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

(vi) Which **one** of the following is a source of long-term finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Sales revenue
- ☒ **C** Trade credit
- ☒ **D** Bank loan

(b) Define the term **sole trader**.

(1)

(c) Define the term **demographics**.

(1)

(d) State **one** reason why *Huawei* may use share capital as a source of finance.

(1)

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Turn over ▶

5. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

Figure 2 is part of the statement of comprehensive income for *Huawei* in 2018.

	(CNY) million
Revenue	721 202
Operating profit	73 287

Figure 2

(e) Calculate, to two decimal places, the operating profit margin for *Huawei*. You are advised to show your working.

(2)

..... %

(f) Explain **one** advantage for a business of using **sponsorship**.

(3)

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5. Question 1 · part e · 2 marks · Working and answer

Working and answer

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6. Question 3 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Define the term **secondary sector**.

(1)

(b) Outline **one** way *Café Pinch* could use social media to promote its business.

(2)

Figure 1 is an extract of the statement of comprehensive income for *Café Pinch*.

Revenue	€103 825
Gross profit	€66 842
Other operating expenses	€5 782

Figure 1

(c) Calculate, to two decimal places, the operating profit margin. You are advised to show your working.

(2)

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6. Question 3 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Analyse **two** factors *Café Pinch* might consider when measuring its success.

(6)

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6. Question 3 · part c · 2 marks · Working and answer

Working and answer

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7. Question 4 · part a · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

4 **Figure 3** shows an extract from a statement of financial income.

	$ (US Dollars)
Revenue	218 000
Gross profit	112 000
Other operating expenses	94 000

Figure 3

(a) Calculate, to **two** decimal places, the operating profit margin. You are advised to show your workings.

(2)

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7. Question 4 · part a · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

(b) Analyse the purpose of market research for *Samsung*.

(6)

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7. Question 4 · part a · 2 marks · Working and answer

Working and answer

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